

LEGISLATURE OF THE STATE OF IDAHO
Sixty-eighth Legislature Second Regular Session - 2026

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 904

BY STATE AFFAIRS COMMITTEE

AN ACT

RELATING TO PROPERTY SALES; AMENDING CHAPTER 1, TITLE 55, IDAHO CODE, BY THE ADDITION OF A NEW SECTION 55-116, IDAHO CODE, TO ESTABLISH PROVISIONS PROHIBITING THE PURCHASE OF SINGLE-FAMILY HOMES BY FOREIGN PERSONS, TO DEFINE A TERM, TO PROVIDE PROCEDURES, TO PROVIDE FOR ENFORCEMENT, AND TO PROVIDE FOR IMMUNITY FROM LIABILITY; AMENDING SECTION 55-103, IDAHO CODE, TO REVISE A PROVISION REGARDING EXCEPTIONS TO WHO MAY OWN PROPERTY AND TO MAKE A TECHNICAL CORRECTION; AND DECLARING AN EMERGENCY AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Chapter 1, Title 55, Idaho Code, be, and the same is hereby amended by the addition thereto of a NEW SECTION, to be known and designated as Section 55-116, Idaho Code, and to read as follows:

55-116. PROHIBITION ON PURCHASE OF SINGLE-FAMILY HOMES BY FOREIGN PERSONS. (1) On and after July 1, 2026, a foreign person, as defined in this section, shall not be permitted to purchase or acquire a controlling interest in the ownership of a single-family home property in Idaho.

(2) For the purpose of this section, "foreign person" means:

(a) An individual who is not a citizen or legal resident of the United States, or an agent, trustee, or fiduciary thereof;

(b) A foreign corporation incorporated under the laws of a jurisdiction outside of the United States that would be a business corporation if incorporated under the laws of this state, or an agent, trustee, or fiduciary thereof;

(c) A foreign government, meaning a government other than the federal government of the United States, the government of any territory or possession of the United States, or the government of any state, political subdivision of a state, or Indian tribe;

(d) A real estate investment trust, whether publicly traded or not, the majority of whose shareholders are restricted persons described in this subsection;

(e) A company that is registered with the United States securities and exchange commission as an investment adviser under the investment advisers act of 1940, as amended, when acting on behalf of clients who are restricted persons described in this subsection; or

(f) Any other corporation, business trust, estate, trust, partnership, limited liability company, association, joint venture, agency, or instrumentality, or any other legal or commercial entity, acting on behalf of a nonresident alien, foreign corporation, or foreign government, or an agent, trustee, or fiduciary thereof.

(3) A foreign person that acquires, directly or indirectly, control of a single-family home property on or after July 1, 2026, by devise, by de-

1 scent, through the enforcement of security interests, or through the collec-
 2 tion of debts, must sell, transfer, or otherwise divest itself of the prop-
 3 erty within one hundred eighty (180) days of acquiring control of the prop-
 4 erty.

5 (4) If a foreign person does not divest the single-family home property
 6 as required by this section, the attorney general shall commence an action in
 7 the district court within the jurisdiction of the property.

8 (5) If the property is held in violation of this section, the district
 9 court shall order that the property be sold through judicial foreclosure.
 10 Proceeds of the sale shall be disbursed to lienholders, in the order of pri-
 11 ority, except for liens that, under the terms of the sale, are to remain on
 12 the property.

13 (6) On or after January 1, 2027, any individual may act as a whistle-
 14 blower and provide a referral to the office of the attorney general for vio-
 15 lations of this section.

16 (7) If a whistleblower referral results in a divestiture of land or
 17 other assets held in violation of this section, the whistleblower shall be
 18 entitled to a reward equal to thirty percent (30%) of the proceeds of the
 19 property sale resulting from a violation of this section after disbursements
 20 have been made pursuant to paragraphs (a) through (c) of this subsection.
 21 Proceeds of the sale shall be disbursed in the following order:

22 (a) The payment of authorized costs of the sale, including all approved
 23 fees and expenses of the referee and any taxes and assessments due;

24 (b) The payment, in an amount approved by the court, to the attorney
 25 general for reimbursement of investigation and litigation costs and ex-
 26 penses;

27 (c) To bona fide lienholders, in the order of priority, except for liens
 28 that, under the terms of the sale, are to remain on the property;

29 (d) To whistleblowers; and

30 (e) To the restricted foreign person.

31 (8) The responsibility for determining whether a foreign person is sub-
 32 ject to the provisions of this section rests solely with the foreign person,
 33 the attorney general, or any qualifying whistleblower. An individual or en-
 34 tity who is not a foreign person shall not be required to determine or inquire
 35 whether another person or entity is or may be subject to the provisions of
 36 this section and shall bear no civil or criminal liability under this sec-
 37 tion.

38 SECTION 2. That Section 55-103, Idaho Code, be, and the same is hereby
 39 amended to read as follows:

40 55-103. WHO MAY OWN PROPERTY. (1) Except as provided in subsection (2)
 41 or (3) of this section or as otherwise provided in this chapter, any person,
 42 whether citizen or alien, may take, hold, and dispose of property, real or
 43 personal.

44 (2) Notwithstanding any provision of law to the contrary, on and af-
 45 ter the effective date of this subsection, a foreign government or a foreign
 46 state-controlled enterprise shall not purchase, acquire, or hold any con-
 47 trolling interest in agricultural land, forest land, water rights, mining
 48 claims, or mineral rights in the state of Idaho. This subsection does not
 49 apply to any interest in agricultural land, forest land, water rights, min-

ing claims, or mineral rights acquired by a foreign government or foreign state-controlled enterprise prior to the effective date of this subsection or to any foreign pension fund.

(3) Notwithstanding any other provision of law to the contrary, a foreign principal from a foreign adversary shall not purchase, acquire, or hold any controlling interest, except a de minimis indirect interest, in agricultural land, water rights, mining claims, or mineral rights in the state of Idaho. A foreign principal has a de minimis indirect interest if any ownership is the result of the foreign principal's ownership of registered equities in a publicly traded company owning the land and if the foreign principal's ownership in the company is either:

(a) Less than five percent (5%) of any class of registered equities or less than five percent (5%) in the aggregate in multiple classes of registered equities; or

(b) A noncontrolling interest in an entity controlled by a company that is both registered with the United States securities and exchange commission as an investment advisor under the investment advisers act of 1940, as amended, and is not a foreign entity.

(4) A foreign principal that directly or indirectly owns or otherwise controls agricultural land, water rights, mining claims, or mineral rights in the state of Idaho must sell, transfer, or otherwise divest itself of the agricultural land, mining claims, or mineral rights within one hundred eighty (180) days of the effective date of this act.

(5) A foreign principal that directly or indirectly owns or acquires agricultural land, water rights, or any interest in such land in this state must register with the Idaho state department of agriculture within sixty (60) days of the effective date of this act or the date of acquisition, whichever is latest. The department must establish a form for such registration, which, at a minimum, must include all of the following:

(a) The name of the owner of the agricultural land, water rights, or the owner of the interest in such land;

(b) The address of the agricultural land, the property appraiser's parcel identification number, and the property's legal description; and

(c) The number of acres of agricultural land.

(6) A foreign principal that directly owns or acquires mining claims or mineral rights or any interest in such claims in this state must register with the Idaho department of lands and the Idaho secretary of state within sixty (60) days of the effective date of this act or the date of acquisition, whichever is latest. The foreign principal shall be registered to do business with the Idaho secretary of state's office. The Idaho department of lands shall provide the form for such registration, which at a minimum must include the following:

(a) The mineral lease number with lease length and premises by parcel and acres; and

(b) The application for use of state land by the individual or legal entity.

(7) Notwithstanding the provisions of subsection (3) of this section, a foreign principal from a foreign adversary country may acquire agricultural land, mining claims, or mineral rights on or after July 1, 2025, by devise or descent, through the enforcement of security interests, or through the

1 collection of debts, provided that the foreign principal sells, transfers,
2 or otherwise divests itself of the agricultural land, water rights, mining
3 claims, or mineral rights within one hundred eighty (180) days of acquiring
4 the agricultural land, mining claims, or mineral rights.

5 (8) The provisions of subsections (3) through (7) of this section shall
6 not apply to an entity that has a national security agreement with the com-
7 mittee on foreign investment in the United States as of July 1, 2025, and
8 maintains such national security agreement.

9 (9) The Idaho state department of agriculture and department of lands
10 shall adopt rules, subject to legislative approval, to implement the provi-
11 sions of this section.

12 (10) The responsibility for determining whether an entity is subject to
13 this section rests solely with the foreign entity, the attorney general, or
14 any qualifying whistleblower, and no other individual or entity. An indi-
15 vidual or entity who is not a foreign entity shall not be required to deter-
16 mine or inquire whether another person or entity is or may be subject to the
17 provisions of this section and shall bear no civil or criminal liability un-
18 der this section.

19 (11) If a foreign principal from a foreign adversary country does not
20 divest the public or private lands, mining claims, or mineral rights as re-
21 quired by this section, the attorney general shall commence an action in the
22 district court within the jurisdiction of the public or private land, mining
23 claims, or mineral rights.

24 (12) If the public or private land is held in violation of this sec-
25 tion, the district court shall order that the public or private land be sold
26 through judicial foreclosure.

27 (13) Proceeds of the sale shall be disbursed to lienholders, in the or-
28 der of priority, except for liens that, under the terms of the sale, are to
29 remain on the public or private land.

30 (14) Any individual may act as a whistleblower and provide a referral to
31 the office of the attorney general for violations of this section.

32 (15) If a whistleblower referral results in a divestiture of land, min-
33 ing claims, or mineral rights or other assets held in violation of this sec-
34 tion, the whistleblower shall be entitled to a reward equal to thirty percent
35 (30%) of the proceeds of the land, mining claims, mineral rights, or asset
36 sale resulting from a violation of this section after payment of lienhold-
37 ers. Proceeds of the sale shall be disbursed in the following order:

38 (a) To bona fide lienholders, in order of priority, except for liens
39 that, under the terms of the sale, are to remain on the property;

40 (b) The payment of authorized costs of the sale, including all approved
41 fees and expenses of the referee and any taxes and assessments due;

42 (c) The payment, in an amount approved by the court, to the attorney
43 general for reimbursement of investigation and litigation costs and ex-
44 penses;

45 (d) To whistleblowers; and

46 (e) To the restricted foreign entity.

47 (16) The whistleblower enforcement provision takes effect one hundred
48 eighty (180) days after the enforcement date of this section.

49 (17) As used in this section:

1 (a) "Agricultural land" shall have the same meaning as "land actively
2 devoted to agricultural purposes" as provided in section 63-604, Idaho
3 Code.

4 (b) "Controlling interest" means:

5 (i) Possession of more than fifty percent (50%) of the ownership
6 interest in an entity; or

7 (ii) A percentage of ownership interest in an entity that is fifty
8 percent (50%) or less if a foreign government actually directs the
9 business and affairs of the entity without the requirement or con-
10 sent of any other party.

11 (c) "Foreign adversary" means any foreign government or foreign non-
12 government person engaged in a long-term pattern or serious instances
13 of conduct significantly adverse to the national security of the United
14 States or security and safety of United States persons as determined un-
15 der 15 CFR 791.4, as it existed on January 1, 2025.

16 (d) "Foreign government" means a government other than the federal gov-
17 ernment of the United States or the government of any state, political
18 subdivision of a state, territory, federally recognized Indian tribe,
19 or possession of the United States.

20 (e) "Forest land" means privately owned or state-owned land being held
21 and used primarily for the continuous purpose of growing and harvesting
22 trees of a marketable species. Having met the above criteria, forest
23 land includes:

24 (i) Forest land is land evidenced by present use and silvicult-
25 tural treatment.

26 (ii) Forest land is land that has a dedicated use that is further
27 evidenced by a forest land management plan that includes eventual
28 harvest of the forest crop.

29 (iii) Forest land is land bearing forest growth or land that has
30 not been converted to another use.

31 (iv) Forest land is land that has had the trees removed by man
32 through harvest, including clear-cuts or by natural disaster,
33 such as but not limited to fire, and which within five (5) years af-
34 ter harvest or initial assessment will be reforested as specified
35 in the forest practices act, chapter 13, title 38, Idaho Code.

36 (f) "Foreign pension fund" means a trust, corporation, or other entity
37 created or organized under the law of a country other than the United
38 States to provide retirement or pension fund benefits. However, the
39 term "foreign pension fund" shall not include any trust, corporation,
40 or other entity that is owned by or subject to a controlling interest of
41 a sovereign wealth fund.

42 (g) "Foreign principal" means:

43 (i) The government or any official of the government of a foreign
44 adversary;

45 (ii) A political party or member of a political party or any subdi-
46 vision of a political party of a foreign adversary;

47 (iii) A partnership, association, corporation, organization, or
48 other combination of persons organized under the laws of or having
49 its principal place of business in a foreign adversary, or a sub-
50 subsidiary of such entity, owned or controlled wholly or in part by

any person, entity, or collection of persons or entities of a foreign adversary;

(iv) Any person who is domiciled in a foreign adversary and is not a citizen or lawful permanent resident of the United States; and

(v) Any person, entity, or collection of persons or entities described in this paragraph having a controlling interest in a partnership, association, corporation, organization, trust, or any other legal entity or subsidiary formed for the purpose of owning real property.

(h) "Mineral right" shall have the same meaning as provided in section 47-701, Idaho Code.

(i) "Mining claim" means a portion of land containing minerals that a miner has a right to occupy and possess for the purpose of extracting minerals.

(j) "State-controlled enterprise" means a business enterprise, however denominated, sovereign wealth fund, or state-backed investment fund in which a foreign government has a controlling interest.

(k) "Water right" shall have the same meaning as provided in section 42-230, Idaho Code.

~~(4)(a)~~ (18)(a) The attorney general shall investigate acquisitions of interests in real property reasonably suspected of violating the prohibitions provided for in subsection (2) of this section upon receipt of a complaint alleging such violation.

(b) The attorney general shall enforce the prohibitions provided for in subsection (2) of this section for any interest in land, rights, or claims held in violation of the provisions of subsection (2) of this section by petitioning the district court for an order and judgment that: finds such violation; appoints a receiver; and authorizes the receiver to sell such land, rights, or claims. For a receivership proceeding under this section:

(i) Proceeds of the sale shall be disbursed to lienholders, in order of priority, except for liens that, under the terms of the sale, are to remain on the land, rights, or claims;

(ii) At the receivership sale, lienholders shall be permitted to have a credit bid; and

(iii) Any excess proceeds shall be disbursed to the owner of record of the real property.

(c) Upon the commencement of an action provided for in this section, the attorney general shall promptly file a notice of lis pendens with the court.

(d) Upon the entry of a court order appointing a receiver and authorizing the receiver's powers to sell the property pursuant to the provisions of this section, the attorney general shall promptly record a copy of the court order in the office of the county where the property is located that is responsible for the maintenance of property records.

(e) No title to land, rights, or claims shall be invalid or subject to divestiture due to a violation of the provisions of this section by any former owner or other individual or entity having formerly held or owned an interest in the real property.

1 (f) Divestiture of a foreign government's or foreign state-controlled
2 enterprise's title under this section shall not be a basis to void,
3 invalidate, or otherwise extinguish any bona fide mortgage, lien, or
4 other interest granted by, through, or under the foreign government or
5 foreign state-controlled enterprise.

6 (g) No person or entity that is not a foreign government or a foreign
7 state-controlled enterprise shall bear any civil or criminal liability
8 for failing to determine or to make an inquiry about whether an indi-
9 vidual or other entity is a foreign government or a foreign state-con-
10 trolled enterprise.

11 SECTION 3. An emergency existing therefor, which emergency is hereby
12 declared to exist, this act shall be in full force and effect on and after
13 July 1, 2026.